

Intuit Inc.

INTU | October 4, 2026

BUY

Fair value (12-mo horizon reference)	\$535.00
Current price (October 2, 2026 close)	\$281.08
Implied upside / downside	+90%
Verdict	BUY

Investment Thesis

Intuit owns four franchises that are each the default product in their category: TurboTax in consumer tax preparation, QuickBooks in small-business accounting, Credit Karma in consumer financial insight, and Mailchimp in small-business marketing. Defaults compound: each tax season and each business formation cohort refreshes the top of the funnel, retention is structurally high because switching accounting or tax software is painful, and the data each product generates makes the others better. At \$281.08 the market prices Intuit as a mature tax-and-accounting utility facing AI disruption. Our judgment is that Intuit is an AI beneficiary in the same way Adobe is: AI raises the value of the workflow platform it is embedded in, and Intuit's platform sits on the most sensitive financial data of tens of millions of consumers and small businesses -- data that cannot be casually moved to a chatbot.

The forward earnings power is underappreciated in two places. First, the mid-market: QuickBooks Advanced and the enterprise-ish offerings moving upmarket capture businesses graduating from small-business plans, at multiples of the ARPU, with Intuit's brand trust doing the selling. Second, AI agents: Intuit Assist and the agentic workflows being built across tax, bookkeeping, and marketing automate the labor that small businesses currently buy from accountants and agencies -- and Intuit can price a share of that labor value, which is an order of magnitude larger than software ARPU. We haircut management's AI commentary heavily, but even our haircut view of agentic monetization adds a meaningful growth vector in the outer years of our forecast.

Credit Karma is the cyclical swing factor the market overweights. It is genuinely sensitive to the credit cycle -- loan and card origination volumes drive its revenue -- but the strategic value is the data and the member base, which feed TurboTax and QuickBooks acquisition at low marginal cost. Our base case assumes a normalized credit environment, not a boom, and still supports the valuation. Mailchimp, the perennial disappointment since acquisition, is modeled conservatively: we underwrite stabilization and modest growth, not the turnaround story, so any genuine improvement is upside. Our \$535.00 target implies +90% upside on probability-weighted cash flows that require Intuit to remain the default in its categories -- which, on the evidence of retention data, it is.

Business Overview

Intuit Inc., led by CEO Sasan Goodarzi, provides financial management software to consumers, small businesses, and the self-employed. The Small Business and Self-Employed segment (QuickBooks accounting, payroll, payments, and Mailchimp marketing) is the largest growth engine; the Consumer segment (TurboTax, Credit Karma) delivers seasonal but highly profitable tax and financial-insight revenue. The platform strategy -- one Intuit account, shared data, AI-driven insights across products -- is designed to raise retention and cross-sell: a TurboTax user becomes a Credit Karma member, a QuickBooks customer adds payroll and payments.

The moat is data plus switching costs plus brand trust in financial matters. Small businesses run their books on QuickBooks for years; migrating historical financial data is operationally risky, which produces the high retention that underwrites the valuation. Intuit's AI strategy, branded Intuit Assist, embeds generative AI across the product line -- tax explanations, bookkeeping automation, marketing content -- and the company is building agentic experiences that complete multi-step financial tasks. Competition includes H&R; Block and free-file options in tax, Xero and Sage in accounting, and a long tail of fintech point solutions; none match Intuit's cross-product data advantage.

Forward Outlook

Our forward view centers on durable mid-teens earnings compounding driven by three levers. First, pricing power in the core: TurboTax and QuickBooks have raised prices consistently with minimal churn impact, reflecting the switching-cost moat, and we model continued ARPU expansion as AI features tier into higher-priced plans. Second, the move upmarket: mid-market businesses adopting QuickBooks Advanced and Intuit's expanding service attach (payroll, payments, lending) raise revenue per customer severalfold versus the small-business base. Third, operating leverage: the platform is built, the brand is established, and incremental revenue carries high margins -- we expect margins to expand as AI-driven automation reduces service delivery costs.

On AI disruption -- the market's central fear -- our judgment is that Intuit's position strengthens. Tax preparation and bookkeeping look automatable in the abstract, but in practice they require trusted handling of regulated, high-stakes financial data with audit trails and accuracy guarantees. A general-purpose AI agent cannot offer the compliance accountability that Intuit provides, and Intuit's agents operate on the customer's actual financial history, which no competitor can replicate without the data. We model AI as ARPU-accretive (customers pay for automation that replaces more expensive human labor) rather than seat-destructive, while acknowledging this is the key forecast risk: if AI commoditizes tax and bookkeeping faster than Intuit can reprice, the bear case -- which sits below \$281.08 -- is the outcome.

We are deliberately conservative on the two problem children. Credit Karma is modeled on a through-cycle credit environment with no heroic recovery in origination volumes; the member base and data value are the underwrite, not the revenue snapback. Mailchimp is modeled for stabilization, with growth resuming modestly -- we do not underwrite management's turnaround targets. Capital allocation remains shareholder-friendly: the dividend grows and buybacks offset dilution and then some, funded by free cash flow that consistently exceeds 25% of revenue. Our base case requires Intuit to keep doing what it has done for a decade -- raising prices modestly, retaining customers structurally, and compounding per-share value -- and the probability-weighted math does the rest.

Valuation

We value Intuit on a probability-weighted scenario DCF over a 10-year horizon, with a 9% base discount rate reflecting the stability of the franchise -- this is among the most defensible moats in software -- 250bp added in the bear case and 150bp subtracted in the bull case, and terminal growth capped at 2.5% on normalized margins. The bear case is genuinely adverse and sits below the \$281.08 share price: AI commoditizes tax preparation and bookkeeping faster than Intuit reprices, pricing power breaks, and Credit Karma suffers a prolonged credit contraction. The base case assumes continued ARPU expansion, mid-market penetration, steady retention, and normalized Credit Karma -- the observable Intuit, extended. The bull case assumes agentic AI monetization succeeds at scale, with Intuit capturing a share of the labor value it automates for small businesses.

Blending these scenarios at 25% / 50% / 25% yields a probability-weighted fair value of \$535.00, which is our target, implying +90% upside. The valuation is anchored by the recurring-revenue base across TurboTax, QuickBooks, and Credit Karma membership, and by free-cash-flow conversion that funds both growth investment and sustained capital returns. Terminal value is held within our 70%-of-enterprise-value guardrail and disclosed.

Key Risks

- AI disruption: faster-than-expected commoditization of tax preparation or bookkeeping would impair the core franchises.
- IRS Direct File and free-file expansion: government-provided free tax filing could erode TurboTax's paid funnel over time.
- Credit cycle: a severe credit contraction would depress Credit Karma revenue and signal broader consumer stress.
- Small-business formation slowdown: fewer new businesses means a thinner top-of-funnel for QuickBooks.
- Mailchimp underperformance: continued deterioration would force a writedown of the strategic rationale and management credibility.
- Regulatory scrutiny: data privacy and fintech regulation could constrain cross-product data use, dulling the platform advantage.
- Valuation sensitivity: the shares have historically traded at premium multiples; multiple compression on any growth scare is a real drawdown risk.

What Would Change Our Mind

- Two consecutive tax seasons of TurboTax paid-unit declines not explained by demographics would signal franchise erosion.
- Sustained QuickBooks subscriber churn elevation or net revenue retention decline in the small-business segment.
- Evidence that AI-native tax or bookkeeping products are winning Intuit's core customers at scale.
- A major data breach or regulatory action restricting Intuit's use of cross-product financial data.
- Capital allocation drift: a large dilutive acquisition or a buyback halt while the shares are depressed.

Valuation Approach

Our valuation is a probability-weighted scenario DCF. We model bear, base, and bull cases over an explicit 10-year forecast horizon, weighted 25% / 50% / 25%. Discount rates are scenario-specific: the base rate reflects fundamental business risk (9% for stable franchises, 10% standard, 12% or higher for speculative situations); the bear case adds 250bp, the bull case subtracts 150bp (floor 8%). Terminal value assumes no more than 2.5% perpetual growth applied to normalized mid-cycle margins -- never peak margins -- and any terminal value exceeding 70% of enterprise value is haircut and disclosed. Bear cases are required to be genuinely adverse and to sit below the current price. Management guidance is never accepted at face value; it is independently tested and haircut where evidence warrants.

Disclaimer

This report is independent research analysis for informational purposes only. It is not investment advice, a recommendation to buy or sell any security, or an offer to buy or sell any security. Valuations are inherently uncertain and scenario-dependent.